The calculation of effective revenue deficit was introduced from 2010–11 budget. Though a part of the grants in aid given to States and UTs with legislatures or other bodies were used to create capital assets they are not considered as capital expenditure of the Central Government as the assets belong to the recipient of the grants and not the Central Government. As far as the Central Government is concerned there will be no return either in the form of recurring revenue or by way of disposal of the assets. Hence they are not considered as capital expenditure of the Central Government. However as the grants in aid used for creation of capital assets contribute to development of the national economy they are considered as productive expenditures. To capture it this new measure of deficit was introduced.

Effective Revenue Deficit = Revenue Deficit – Grants in aid for creation of capital assets

Fiscal Deficit

Fiscal Deficit is the difference between Total Expenditure and Total Receipts except Borrowing and Other liabilities.

Fiscal Deficit = Total Expenditure – Total Receipts except Borrowing and Other liabilities

= Total Expenditure –[Capital Receipts other than Borrowings and other Liabilities + Revenue Receipts]

= Budget Deficit + [Borrowing from RBI + Public borrowing and other liabilities]

To be precise about fiscal deficit, it is the amount of *Borrowing and other Liabilities.*

Primary Deficit

Primary Deficit is measured by subtracting the interest payments from